NOTICE OF INTENTION TO MAKE A NORMAL COURSE ISSUER BID

1. Issuer Bid

This is a Notice of Intention by Canada Bread Company, Limited. (the "Company"), a corporation governed by the laws of Ontario, with its registered and principal office at Suite 1200, 10 Four Seasons Place, Etobicoke, Ontario M9B 6H7, to make a normal course issuer bid (the "Issuer Bid") to purchase certain of its issued and outstanding common shares ("Common Shares").

This Notice of Intention should not be regarded as a solicitation or recommendation to shareholders to sell or retain any Common Shares nor should it be regarded as an undertaking to buy at any particular price.

2. Shares Sought

The Company proposes to purchase from time to time, if it is considered advisable, up to a maximum of 1,070,840 of its Common Shares (being approximately 5% of the 21,416,812 Common Shares issued and outstanding as of March 14, 2000.

The Common Shares purchased by the Company under the Issuer Bid will be cancelled.

3. Duration

The Issuer Bid will commence on March 24, 2000 and terminate on the earliest of the Company purchasing 1,070,840 Common Shares, the Company providing notice of termination, or March 23, 2001.

4. Method of Acquisition

Purchases of Common Shares pursuant to this Notice of Intention will be made at times and in numbers to be determined by the Company and will be made on the open market through the facilities of The Toronto Stock Exchange (the "TSE", or the "Exchange") as provided below. Purchase and payment for any Common Shares purchased will be made by the Company in accordance with the by-laws and rules of the TSE. The price which the Company will pay for any Common Shares acquired by it will be the prevailing market price of the Common Shares on the TSE at the time of acquisition.

The Company and any vendor of Common Shares will be required to pay commissions to their respective brokers with respect to the purchase and sale of Common Shares through the TSE.

No purchases of Common Shares will be made by the Company other than by means of open market transactions during the term of the Issuer Bid.

5. Consideration Offered

The Board of Directors of the Company did not place any restrictions on the price, method of purchasing or the number of Common Shares, up to the permitted maximum of 1,070,840 Common Shares, to be purchased pursuant to the Issuer Bid.

6. Reasons for the Normal Course Issuer Bid

The Board of Directors of the Company have concluded that the purchase of up to 1,070,840 Common Shares under the Issuer Bid is in the best interests of the Company. Management and the directors of the Company believe that the Common Shares are undervalued at current market prices based on the Company's current earnings and future prospects and they would make an attractive investment for the Company;

7. Valuations

The directors and officers of the Company are not aware after reasonable enquiry of any independent valuation or appraisal or any material non-independent valuation or appraisal of the Company, its material assets or securities prepared within the two years preceding the date of this Notice of Intention.

8. Previous Purchases

The Company has not purchased any Common Shares during the twelve months preceding the date hereof pursuant to any issuer bid.

9. Persons Acting Jointly or In Concert with the Company

None.

10. Acceptance of Bid by Insiders, Affiliates and Associates

The Company is not aware of any director or senior officer of the Company and, after reasonable enquiry, of any associate of a director or senior officer of the Company, any person acting jointly or in concert with the Company or any person holding 10% or more of any class of equity securities of the Company, who presently intends to sell Common Shares during the term of the Issuer Bid.

However, certain of the directors, senior officers or other insiders of the Company, any associate of any such persons, or any person acting jointly or in concert with the Company may determine during the proposed purchase period to sell Common Shares through the facilities of the Exchanges or otherwise for purposes unrelated to the Issuer Bid. In particular, certain options issued to senior officers of the Company under the Company's Share Option Plan expire during the proposed purchase period and such persons may determine to sell all or part of the Common Shares issued upon exercise of such options or to sell Common Shares from existing holdings prior to exercising such options. Since all purchases of Common Shares by the Company will be made in the open market, the Company is not in a position to know in advance the identity of persons who sell Common Shares to the Company under the Issuer Bid. As a result, if any of the Company's senior officers, directors or other insiders or any of their associates or any person acting jointly or in concert with the Company choose to dispose of some or all of their Common Shares in the market during the proposed purchase period, some or all such Common Shares may be acquired by the Company. If, to the knowledge of the Company, any person who either alone or in combination with others holds a sufficient number of securities of the Company to affect materially the control of the Company should determine to sell Common Shares during the

proposed purchase period for any reason, the Company will instruct its broker to discontinue purchases of shares until such sale of Common Shares has been completed.

11. Benefits to Insiders

None of the persons or companies referred to in paragraph 10 will benefit, directly or indirectly, from the Issuer Bid, except in a manner similar to all other shareholders of the Company who sell or do not sell Common Shares.

The Company does not have any contract, arrangement or understanding, formal or informal, with any holder of Common Shares in respect of the proposed purchase of Common Shares under the Issuer Bid or, apart from arrangements to be made with a broker on normal terms (the expense of which will be borne by the Company) to effect the proposed purchases on the Company's behalf, with any person in respect of any securities of the Company in relation to the proposed purchase of Common Shares.

12. Material Changes

The directors and officers of the Company are not aware of any undisclosed material changes or plans or proposals for material changes in the affairs of the Company.

13. Certificate

This Notice of Intention is certified to be complete and accurate and in compliance with Part XXIII of the General By-law and the Policy Statement on Normal Course Issuer Bids of the TSE. The purchase of Common Shares of the Company in accordance with this Issuer Bid and the contents of this Notice of Intention have been authorized by the directors of the Company. This Notice of Intention contains no untrue statement of a material fact and does not omit to state a material fact that is required to be stated or that is necessary to make a statement not misleading in the light of the circumstances in which it is made.

On behalf of the Board of Directors

"Larry J. Palko"

Larry J. Palko
Vice President, Finance and Secretary-Treasurer

March 15, 2000